trading partner for all Asian states, it occupies a central position. Yet Sino-Asian relations have remained largely transactional, due both to lingering concerns over Beijing's assertiveness and fears of being economically overwhelmed. From a short-term perspective, China may appear more influential thanks to its economic power, but that too has translated only fitfully into political gains. Nor has there been an increase in Asian nations attempting to mimic China's political model, as opposed to eagerly accepting its development assistance in most cases. Instead, both Tokyo and Beijing continue to jockey for position and influence. Each interacts with largely the same set of Asian actors, thus offering what Asians consider an almost market-based competition, in which smaller states are able to drive better deals than they would if dealing with either power alone.

Yet it is in this Sino-Japanese competition that the role of the United States becomes a driver of national strategy. Both China and Japan base their policies in part on their perceptions of US policy in Asia. Japan's alliance with the United States serves in essence to merge Tokyo and Washington into one bloc versus Beijing, while also creating an underlying uncertainty as to American intentions. Japanese concern over the credibility of American promises to remain engaged in the Indo-Pacific drives Tokyo's military modernization plans, in part to be a more effective partner and in part to avoid overdependence. At the same time, uncertainty over America's long-term policy enhances Japan's desire to deepen relations and cooperation with India, Vietnam, and other nations that share its worries about China's growing military strength. On the other hand, Beijing's response to the Obama administration's involvement in the South China Sea territorial disputes was a program of land reclamation and base building in the Spratly Islands. The same could be said for China's financial and free-trade initiatives, which are designed at least in part to blunt the TPP, which was championed though not started by Washington, or the continued influence of the ADB and World Bank in regional lending.

From a mere material perspective, Japan should come off worse in any direct competition for influence between the two nations. Its